EICHER MOTORS

Accelerating Growth. Delivering Value



Business Analysis & Valuation Report

Eicher Motors LTD

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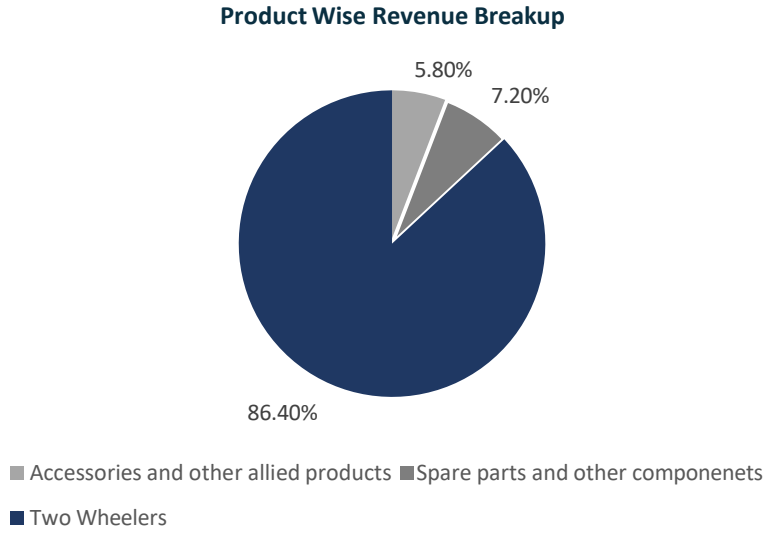
Company Overview

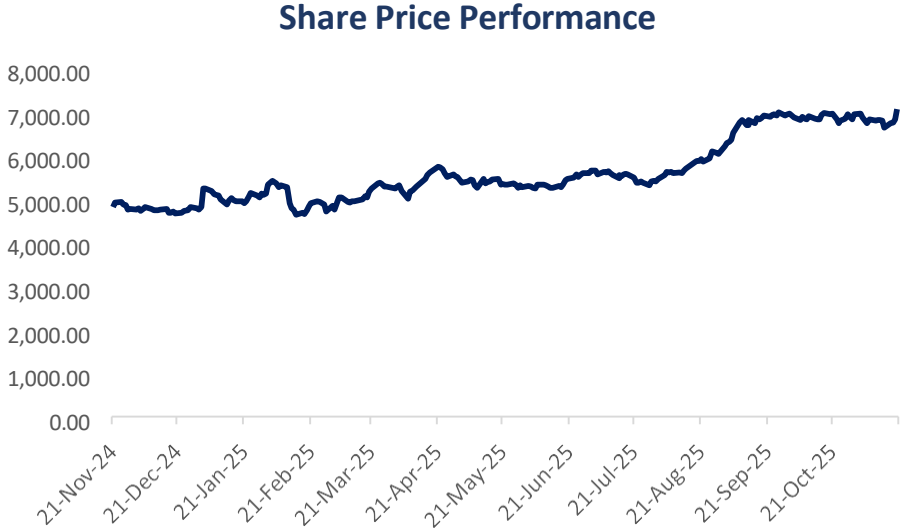
Introduction

Eicher Motors Limited (EML) is an Indian, multinational automotive company that has diversified interests in motorcycle and commercial vehicles manufacturing. The Company is engaged in the manufacturing and selling of motorcycles, spare parts and related services. It manufactures the iconic 'Royal Enfield' brand of motorcycles, which leads the premium motorcycle segment in India. Royal Enfield is the oldest motorcycle brand having the production worldwide since 1901. Royal Enfield's product line includes the Bullet, Classic and Thunderbird models in 350cc. Eicher has a joint venture with Sweden's AB Volvo to create Volvo Eicher Commercial Vehicles Limited (VECV). VECV is engaged in truck and bus operations, auto components business, and technical consulting services business. Its product portfolio comprises of motorcycles like the Classic 350, Bullet 350, Meteor 350, Hunter 350, Scram 411, Himalayan 450, etc. It also offers apparel for men and women like protective riding apparel, urban casual wear, and riding accessories.

Business Presence

Royal Enfield operates through over 2,000 stores, including 1,102 large dealerships and 901 smaller studio-format stores across major cities and towns in India, as well as 1,085 stores in more than 60 countries worldwide. VECV's retail network comprised almost 1,000 touchpoints as of FY24 compared to 660 in FY22. Royal Enfield has 3 manufacturing facilities in Chennai with a total production capacity of 12 lakh motorcycles per annum, It also operates 2 technical centers, located in Bruntingthorpe, UK, and Chennai, India, along with 5 modern CKD assembly facilities in Nepal, Brazil, Thailand, Argentina, and Colombia. VECV has a manufacturing plant in Pithampur, Madhya Pradesh, with a capacity of 90,000 vehicles per year.





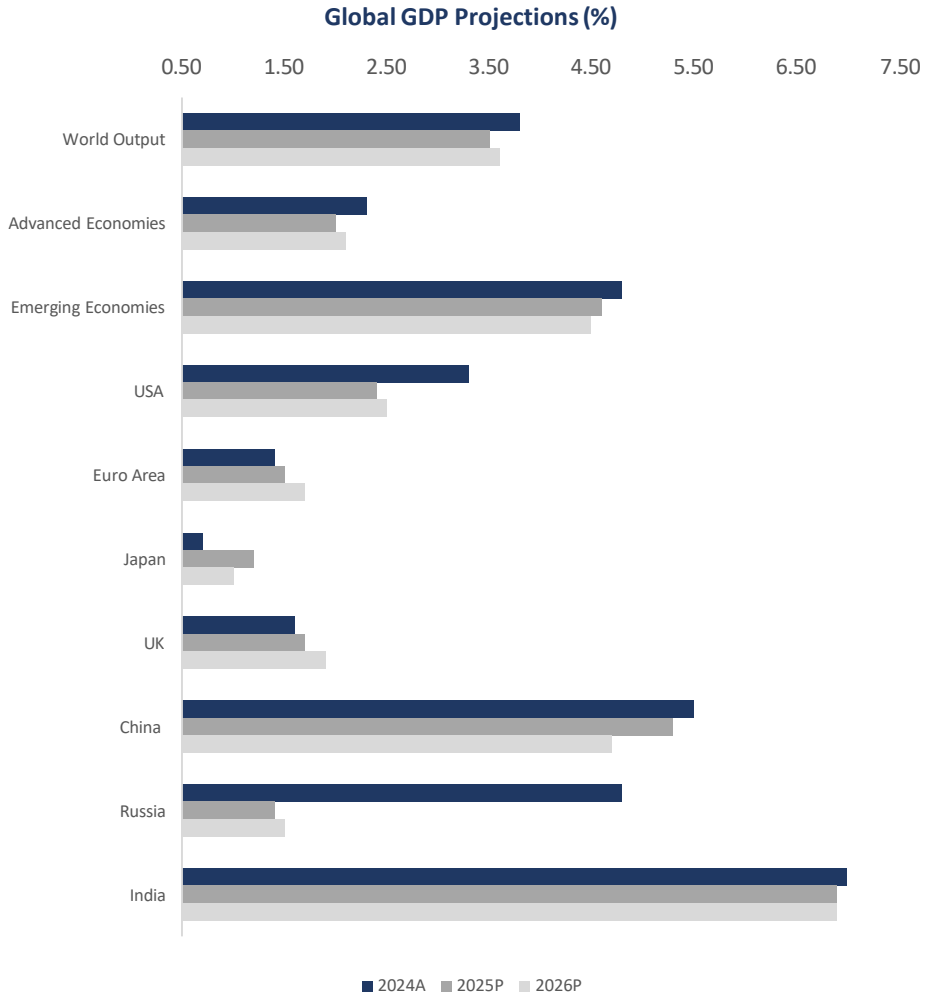
Global Economy

Overview

The global economy grew 3.3% in 2024 but is projected to slow to 2.8% in 2025 before a mild recovery to 3.0% in 2026. Advanced economies remain weak at 1.7% growth, while emerging markets, though stronger, have slowed to 4.2% due to commodity disruptions, conflicts, and high interest rates.

Inflation is easing, with global headline inflation expected at 4.2% in 2025 and 3.5% in 2026. Emerging markets should see faster disinflation, supported by early rate cuts, while advanced economies may face tariff related pressures and sticky services inflation, leading to more cautious monetary easing.

Tariff-related disruptions remain a material risk: Tariff war led by US have elevated trade costs, dampened global demand, and heightened recession risks, especially in trade-dependent regions, as flagged by the IMF. Risks from trade barriers, geopolitical conflicts, and climate shocks remain elevated. Overall, global growth will stay subdued, with disinflation progressing gradually and monetary policy easing unevenly across economies.



Source : IMF WEO, Company Analysis

Source: Multiple Annual Reports

Indian Economy

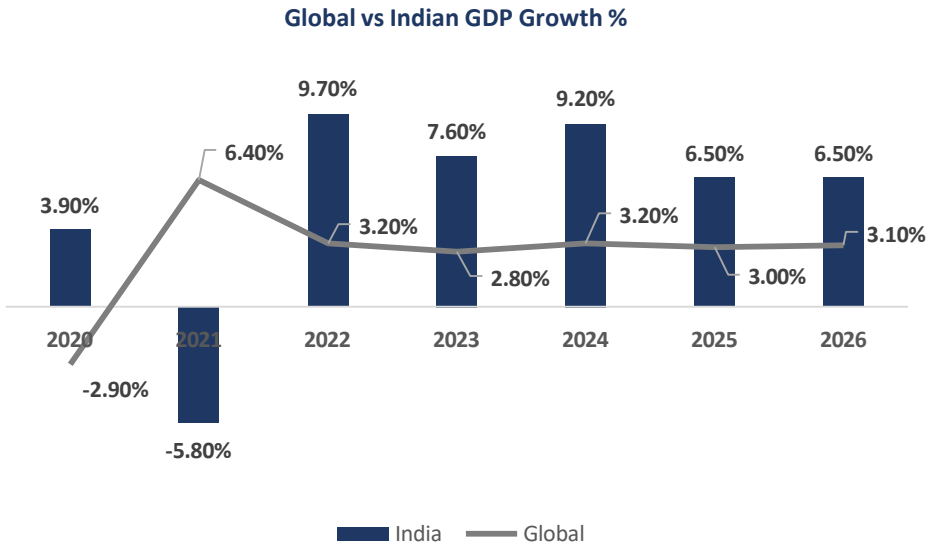
Overview

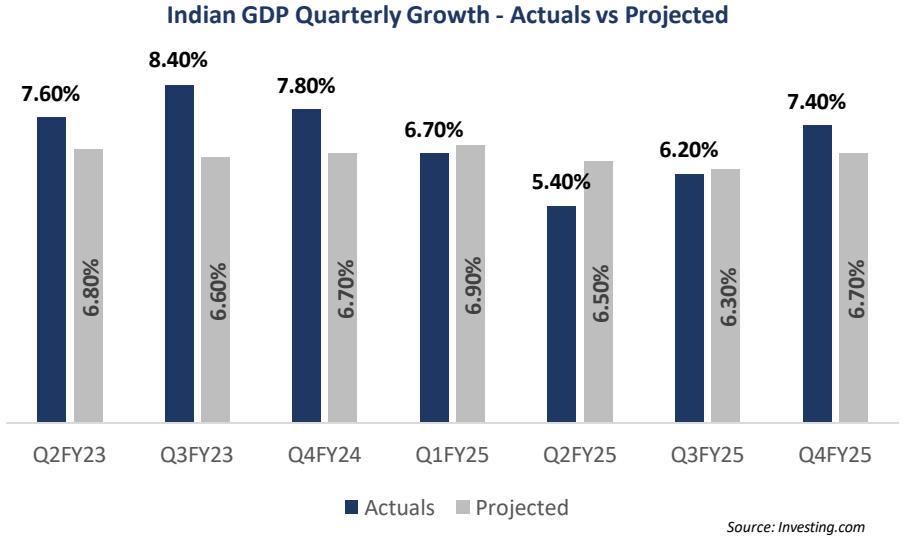
India's economy remains robust and resilient, with real GDP growth beating expectations and the RBI easing rates to support momentum. Yet, US-imposed 50% tariffs under Trump have raised fresh concerns for exporters and future trade prospects.

Real GDP grew 7.8% in Q1 FY26, led by manufacturing, construction, and services. FY25 annual growth of 6.5% sustained India's status as the world's fastest-growing major economy, with potential to overtake Germany by decade's end. Growth is fueled by rising employment, higher consumption, and strong capital formation.

The RBI cut the repo rate by 100 bps cumulatively since February, now at 5.5%, with CRR lowered to 3%. Inflation is forecast at 3.1% in FY26, well within the 2–6% band, allowing further support if global trade shocks deepen.

The new 50% US tariffs, targeting textiles, gems, jewellery, shrimp, carpets, and furniture, threaten millions of jobs and export revenues. Justified on geopolitical grounds, these measures risk slowing labor-intensive growth. While India's economy is cushioned by its lower export reliance, but long trade tensions could still affect in future.





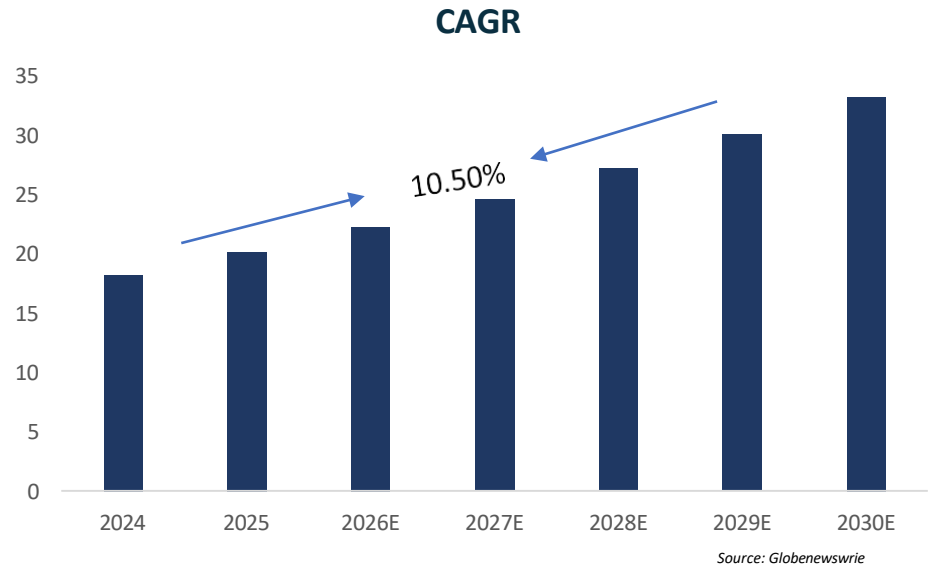
Source: IMF WEO, Company Analysis

Source: Investing.com

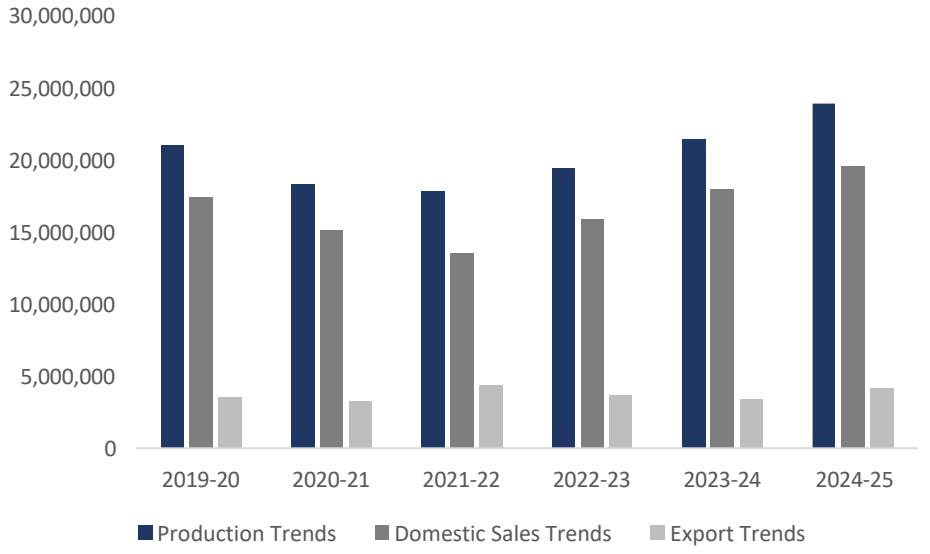
Indian Two-Wheeler Industry

The Indian Two-wheeler industry is cornerstone of transportation sector, is anticipated to witness a significant growth, with projections estimating its value to reach USD 33.20 Billion by 2030, growing at a CAGR of 10.50%. This robust growth will be achieved by increased in rural demand and urban demand for motorcycles. Nearly 60% of Indian households own a two-wheeler, whereas only 15% own a four-wheeler. While rural India contributes around 70% of two-wheeler demand. Due to rapid urbanization and economic growth have led to congested cities with heavy traffic and parking issues this has increased the demand for two-wheeler in India. India is one of the world's largest two-wheeler manufacturing base, producing nearly 35 percent of the global two-wheeler volume. The two-wheeler industry contributes 15 percent of the automotive industry and generates direct and indirect employment of approximately 4.5–5 million. India is also a powerhouse when it comes to manufacturing these bikes and scooters, producing nearly 35% of the world's total two-wheelers.

Indian companies have strong factories and they know-how to design and build new products. Recently, they successfully moved to the cleaner BSVI engine standards. Now, they are leading the way in adopting electric vehicles (EVs), which has brought in new companies that are challenging the older, established brands with exciting new models. Within the two-wheeler industry, the scooters segment grew by 17.4% and the motorcycles segment grew by 5.1% in FY 2024-25 to 12.3 Million units. The motorcycles in the above 125cc segment grew by 6.7%, reaching a total of 3.0 Million units, which now accounts for 24.4% of the overall motorcycle market, compared to 24.1% in the fiscal year 2023-24. The above 250cc segment grew by 9.9% in FY 2024-25 to 1.0 Million units and is now 8.5% of the overall motorcycles (8.1% in FY 2023-24). Electric two-wheelers also gained significant traction growing by 21.6% to 1.2 Million units with their share in overall two-wheeler sales reaching 6.7% during the fiscal year.



Source: Globenewswrie



Source: Annual Report, Kearney.com, Siam

Source: Siam

Eicher Motors Growth Story

Overview

Eicher motors has made remarkable growth because of its strategic focus and strong management. After its establishment and initial success in tractors and commercial vehicles (CVs) beginning in 1948, the company's trajectory shifted decisively in the mid-2000s under the leadership of Siddhartha Lal. Afterwards, the company focused on only two verticals: premium midsize motorcycles (RE) and Commercial vehicles through the VECV joint venture with the volvo group in 2008.

The subsequent launch of modern retro styled models like the RE Classic became the main catalyst, which was loved by most Indian middle class.

Now they are market leader in premium motorcycle segment having 84% share.

Premium Dealership Network

The current phase of Eicher motors is dedicated to sustain its domestic demand and accelerating its international and technological expansion. Royal Enfield has a robust distribution network through over 2000 stores, including 1,102 large dealerships and 901 smaller studio formats in India. It has a global retail network outside India consisting of over 1,085 touchpoints across more than 60 countries. They planned capex for FY26 is expected to be between INR 1200 and INR 1300 crore. A significant portion of the capex will be allocated towards the EV manufacturing facility, New Product Development, and new initiatives. Royal Enfield currently ranks #1 in the FADA dealer satisfaction survey in 2025. This indicates a healthy relationship between Eicher motors and its channel partners.

Operational Efficiency

Eicher motors has strong operational efficiency which is a crore strength built on high margins. Eicher consistently reports consolidated EBITDA margins in the 24-29% range (24.5% in Q2 FY26). This is significantly higher than most of its domestic and global two-wheeler peers, showcasing a superior ability to convert revenue into operating profit through effective cost control by doing value engineering and premium pricing.

The gross margins is also high than its peers ranging around 40 to 45% which reflects strong premium value proposition of Royal Enfield Brand.

Eicher motors historically maintains a negative CCC meaning it collects cash from its dealers (Receivables) faster than it pays its supplier (payables). This essentially means the company is funded by its suppliers and dealers not needing to rely on external debt for working capital which a competitive advantage.

Eicher motors focuses on de-bottlenecking and flexible manufacturing to meet fluctuating demand, which is crucial for operational responsiveness.

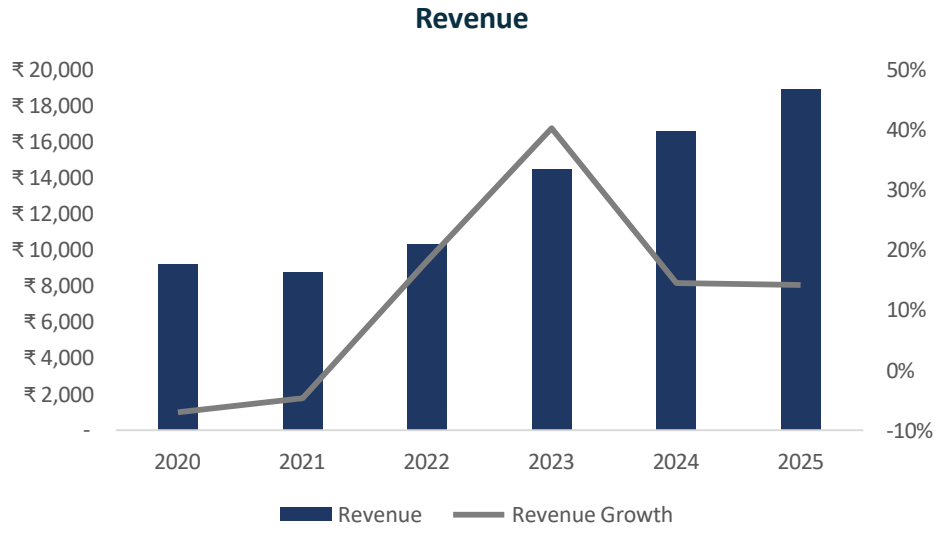
The company has made its products available on Flipkart and recently they signed MOU with Jiobp pulse and Tata power to provide trucks and buses customer access to 6-000 plus public charges easing the customer anxiety on range and access to charging infrastructure.

Source: Annual Report, Concall

Financials

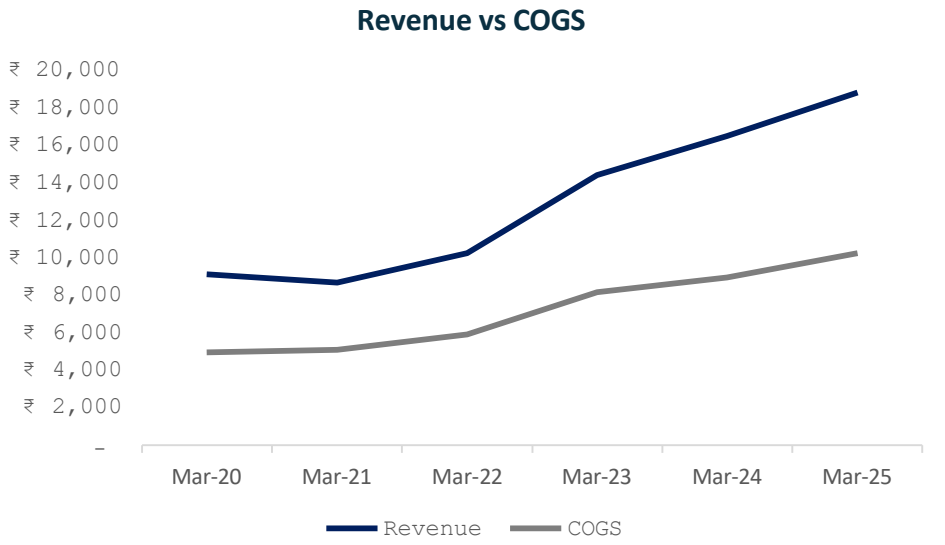
Revenue

The company has posted revenue of INR 18,870 (2025) Crores in FY 2025. The Revenue has been grown at a CAGR of 22% and 15% during the last 3,5 and 7 Years respectively. In Q1 of FY26 the company had a revenue of INR 5,042 crores marking a growth of 14.8% over INR4,393 crores from Q1 last year. During this quarter, 2,61,326 motorcycles were sold with a growth of 14.7% as against 2,27,736 in Q1 of FY2025 and in India it was 2,28,779 motorcycles sold with 11.8% growth from last year. This was achieved due to strong focused on strategy like strong product portfolio with marketing activities which helped the company to deepen their market share in industry. The company has strong focus on volume growth which made them to became market leader in mid-size premium motorcycle. The management is extremely positive on overall growth of Indian Automobile Industry due to factors such as increase in household income, consumer spending, Festive season, Tax rate cut etc. This year the company has achieved its highest ever sales i.e 1 million units sold.



Cost of Good Sold

The Company's Revenue is increasing YoY and Cost of Good Sold also increases because it is directly proportional to Revenue. The median COGS is 15%. Major COGS which includes Raw material which constitutes around ~55%. Purchase of Traded Goods has remained constant historically i.e 3%. Although the COGS includes Commodities like Aluminum, Steel. The management was able to control the cost by doing value engineering.



Financials

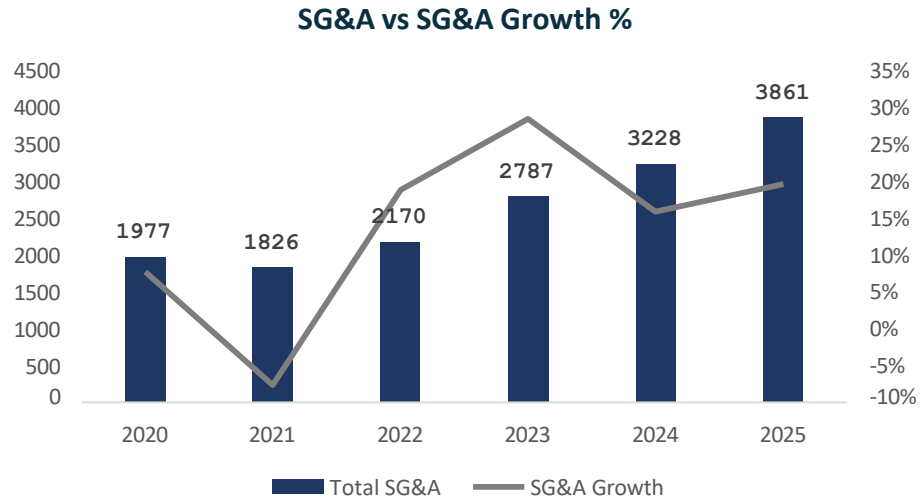
Gross Margins

The Company has a gross margins ~40% to 45% which is higher than peer companies because it manufactures premium motorcycles segment from 250cc to 750cc. The peer margins falls in range of 30% to 35% respectively. Historically the margins has been improved due to strong pricing power, strong product mix. Due to covid-19 the margins were impacted due to low demand and slow down of economic activities but after post covid the company was able to sale high volumes which enable them increase their margin. The company has strong cost control team and had done value engineering to reduce the impact of commodity inflation pressure etc. Recently the company has passed the price increase in motorcycles to consumer.



SG&A Expenses

The company has increased its expenses over years from INR 1977 Crores in FY20 to INR 3861 Crores in FY25. Although the company is spending heavily on advertising, employees benefit expenses, power and fuel but they were able to generate higher volumes also. The SG&A expenses is ~21% which is in line with peer companies. There was a dip in FY21 expenses due to covid but after covid the expenses started increasing because management is focused on volume growth. To achieve this, they organized promotional camps for their products and the results were positive. Further the growth will be achieved by increasing marketing cost.

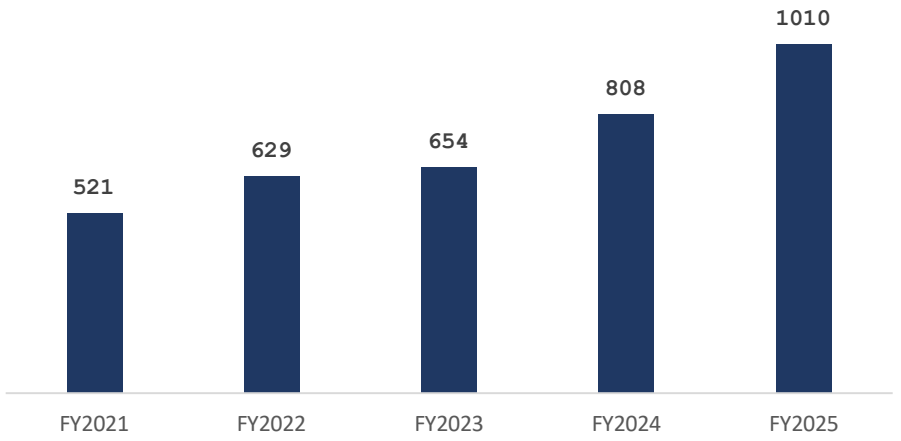


Financials

Capacity Expansion

The company does every year Capital expenditure to remain in business and to achieve the growth and to increase the market share. This year company is ready to invest Rs 1200 to 1300 crores which is largely towards investment is EV manufacturing facility, product development, and other new things. The company uses almost 84% capacity in FY24 which has produced 10 million units. For Research & Development it has spended 16.02% in FY24 compared with last year it was 9.30% which has been increased by 7%. Also, the company has invested Rs 1010 crores to achieve operational efficiency. This expenditure is made to make the motorcycle more fuel efficient, sustainable and environmentally compliant. Also, the company continuously refines it engines and also takes effort to opt for alternate fuels to improve the fuel efficiency.

Capex Spent

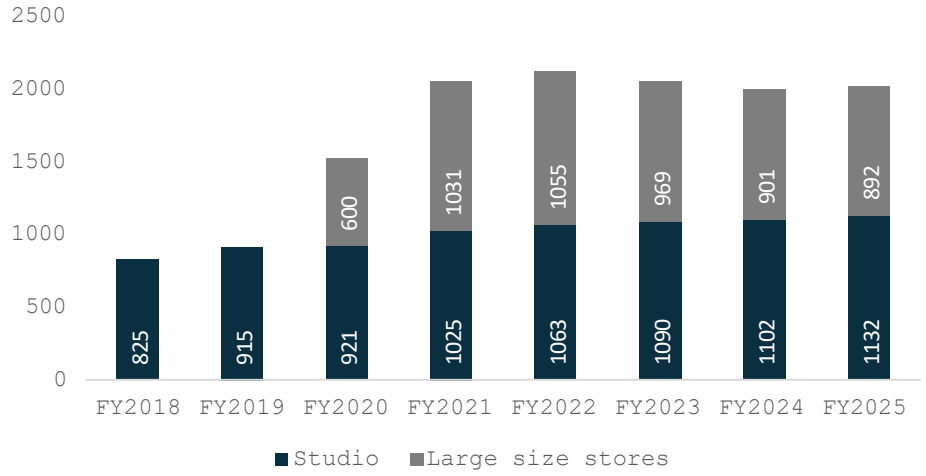


Market Dominance

Eicher motors subsidiary company Royal Enfield which has strong market presence in mid size motorcycle. It is a market leader in mid size motorcycles having a market share of 84% has of FY25. In FY15 the Royal Enfield market share in > 125cc motorcycles was 15.5% and now its has increased to 32.25 in H1FY26. And overall, RE motorcycle share has increased from 3% in FY15 to 8.3% in H1FY26. This shows the company has strong competitive advantage in premium segment.

The large size stores have seen consistent, unbroken growth every year from FY2018 to FY2025. In FY2020, Royal Enfield introduced studio stores a smaller format stores designed to penetrate Tier2 and Tier 3 cities.

Dealership Network

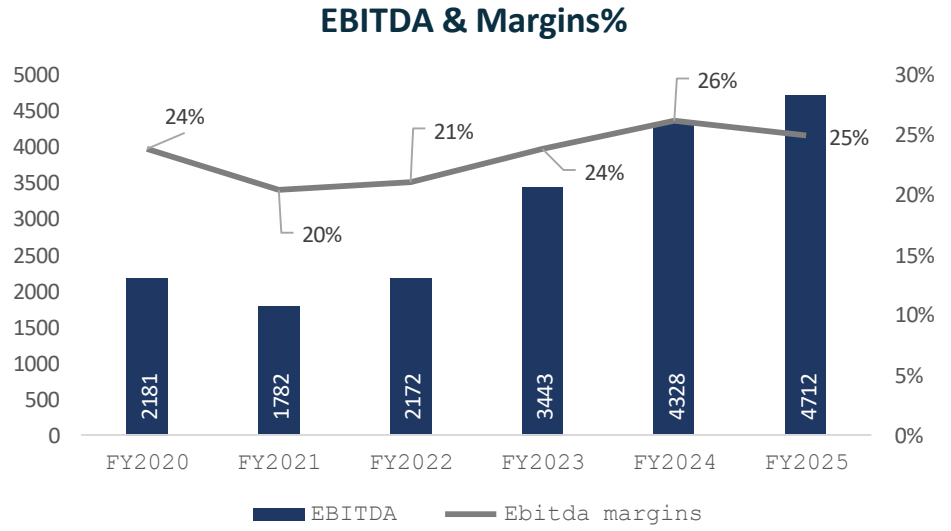


Source: Annual Report, Concall

Financials

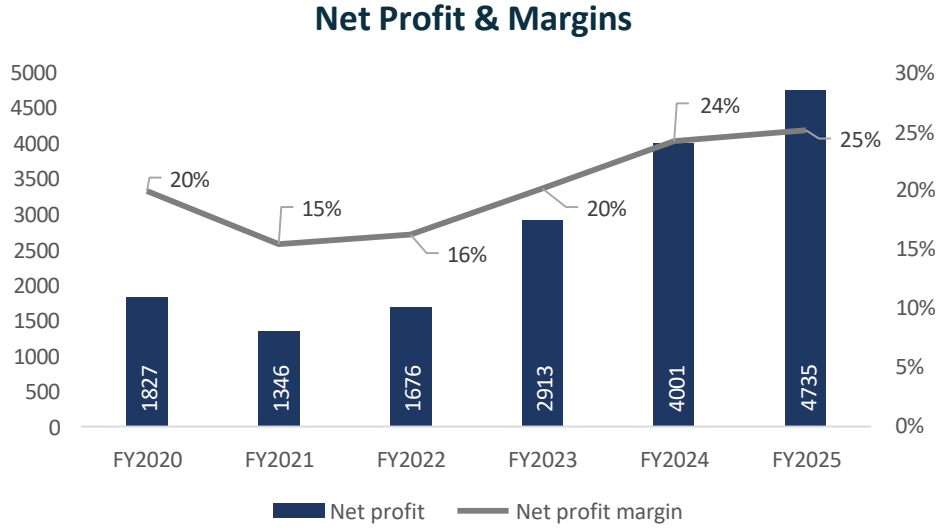
EBITDA

The company has strong EBITDA for FY25 it was 4,712 crores vs 4,328 crores in FY24 9% up year on year. For the first quarter FY26 EBITDA was 1,203 vs 1,165 crores in Q1 last year which is 3% up. EBITDA margins was 25% in FY25 vs 26% in FY24 which is reduced by 1%. On average the company keeps EBITDA margins of 23%. On Q-o-Q basis there is sharp decline in margins as it was 27% in Q1 of FY25 vs 24% in FY26 almost reduced by 3%. This huge fall was due to inflation pressure such as increase in raw material prices (steel and aluminum), restrictions on rare earth elements, and increasing sales mix of lower margins products. EBITDA margins have historically been volatile. Between FY20-22, margins contracted due to decline in sales during covid period. Post covid, margins recovered and stabilized in the 24% to 26% range. 20bps QoQ decline in EBITDAM was due to adverse mix (30bps impact), higher RM cost (20bps impact), inventory liquidation (40bps one-off impact), partially offset by lower marketing spends (60bps benefit). The company has taken a price hike of ~1.5% in April 25 to offset OBD -2 norms related increase costs. Overall, RE is focusing on growing absolute profits.



Net Profit

The company Net Profit is in upward trend and it is increased by 22% YoY from previous year. This shows the company is efficiently selling their products and generating profits to the shareholders. In FY20 the profit was Rs 1,827 Crores but in FY21 it was reduced to Rs 1346 crores due to covid impact. After covid the company has recorded a robust and consistent net profit. This growth reflects not only improved market conditions but Eicher motors robust sales, operational efficiency, strategic investment toward EV motorcycles and expanding market presence. This sustained increase in net profit demonstrates the company's solid fundamental and its ability to adapt a dynamic business environment.



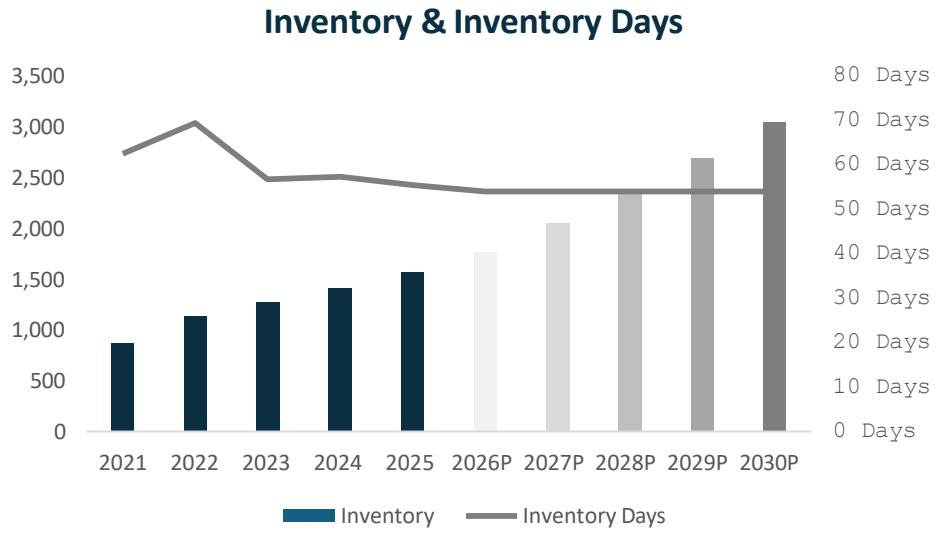
Financials

Inventory

The company does not maintain heavy inventory. It has auto replenishment model which means they don't pile too much inventory. And the channel inventory requires 2-3 weeks to delivery inventory from factory to dealer. The company maintains Inventory as 8.3% of revenue.

Compared to its peers Eicher motors inventory days has been slightly higher. The median inventory days(Revenue) is 30 Days and by cogs the inventory is 54 Days. The Inventory Turnover ratio being consistent around 7x.

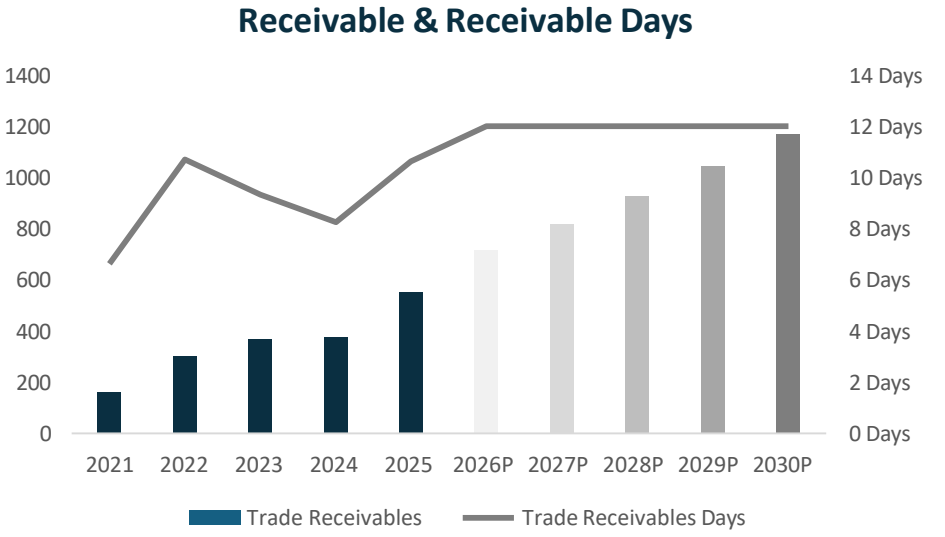
Due to GST rate cut the company got huge demand for its 350cc models and they managed inventory very efficiently by expanding production capacity and thereby achieved capital efficiency and minimized stock risk.



Trade Receivable

Eicher Motors management has remained strong in managing receivables. The company maintains average receivable 2% of revenue. The company has maintained a consistent receivable policy around 8 Days. As the revenue increases from FY2021 the receivable also increased from 158 crores to 550 crores in FY2025 and the growth in receivable is volatile. But the median growth of receivables is 47%.

The Company maintains 8 days as receivable which is lower than its peers which shows they have strong power. The receivable turnover was 71x in FY2021 and now it maintains a range of 41x to 45x which is reduced. Basis our research, the peers in industry have a median receivable days of 17, which is higher than the company's receivables days of 8. However, we noticed that company's receivable days are better as compared to close peers (Bajaj, TVS and Hero).



Financials

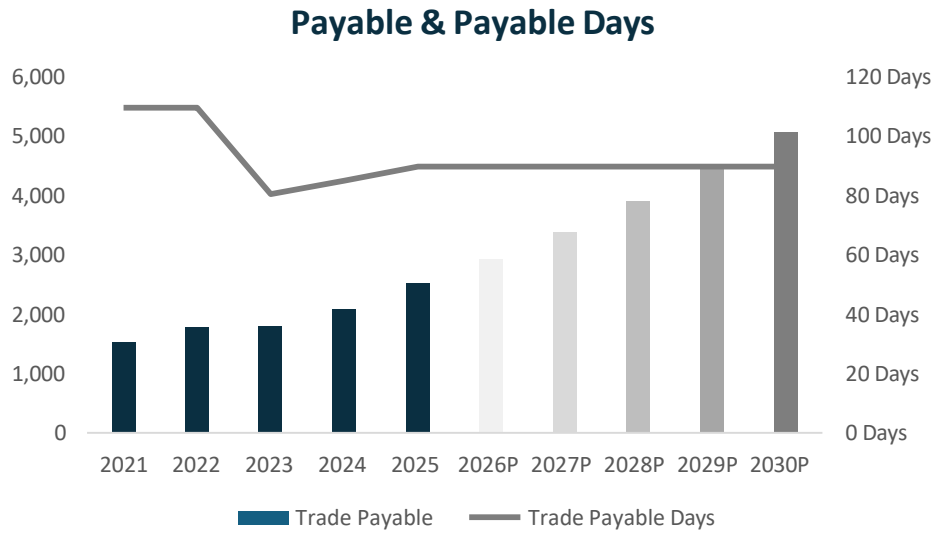
Trade Payable

Eicher motors has posted robust Revenue and Profit which gives a strong bargaining power over its suppliers. This year the trade payables days has been increased from 5 days it was 85 Days in FY2024 And 90 in FY2025.

The company has maintained consistent payable of ~90 days except covid year where the payables were decreased. However, in year 2023, the payables were reported normal level of 80 days. The trade payable is consistently ~25% of COGS and ~13% of revenues.

The peer comparison in the market maintains payables of 99 days which is in line with industry and my company's payable days. Further, street estimates suggests the payable levels to maintain remain flat from existing payable days.

In absence of management guidance and basis our research, we assume the payable days to remain flat at 90 days.



Ratio Analysis

In INR Crores unless otherwise stated	Actual					Explicit Forecast Period				
	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030
Liquidity Ratios										
Current Asset	₹ 8,808	₹ 5,619	₹ 3,683	₹ 4,151	₹ 6,954	₹ 8,947	₹ 11,188	₹ 11,838	₹ 12,712	₹ 13,826
Current Liabilities	₹ 2,629	₹ 2,983	₹ 3,234	₹ 3,600	₹ 4,265	₹ 4,929	₹ 5,654	₹ 6,447	₹ 7,307	₹ 8,229
Current Ratio	**3.4x**	**1.9x**	**1.1x**	**1.2x**	**1.6x**	**1.8x**	**2.0x**	**1.8x**	**1.7x**	**1.7x**
Current Asset	₹ 8,808	₹ 5,619	₹ 3,683	₹ 4,151	₹ 6,954	₹ 8,947	₹ 11,188	₹ 11,838	₹ 12,712	₹ 13,826
Inventory	₹ 875	₹ 1,132	₹ 1,278	₹ 1,410	₹ 1,564	₹ 1,766	₹ 2,045	₹ 2,352	₹ 2,687	₹ 3,049
Current Liabilities	₹ 2,629	₹ 2,983	₹ 3,234	₹ 3,600	₹ 4,265	₹ 4,929	₹ 5,654	₹ 6,447	₹ 7,307	₹ 8,229
Quick Ratio (Acid Test)	**3.0x**	**1.5x**	**0.7x**	**0.8x**	**1.3x**	**1.5x**	**1.6x**	**1.5x**	**1.4x**	**1.3x**
Inventory Days	62 Days	69 Days	57 Days	57 Days	55 Days	54 Days	54 Days	54 Days	54 Days	54 Days
Debtor Days	7 Days	11 Days	9 Days	8 Days	11 Days	12 Days	12 Days	12 Days	12 Days	12 Days
Trade Payable Days	110 Days	110 Days	80 Days	85 Days	90 Days	90 Days	90 Days	90 Days	90 Days	90 Days
Cash Conversion Cycle	**(41)**	**(29)**	**(14)**	**(19)**	**(24)**	**(24)**	**(24)**	**(24)**	**(24)**	**(24)**
Leverage Ratios/ Solvency Ratios										
Total Debt	₹ 157	₹ 59	₹ 196	₹ 276	₹ 266	₹ 94	₹ 108	₹ 122	₹ 138	₹ 155
Total Equity	₹ 11,438	₹ 12,608	₹ 14,990	₹ 18,046	₹ 21,297	₹ 23,564	₹ 26,076	₹ 27,568	₹ 29,180	₹ 30,912
Debt to Equity Ratio	**1.4%**	**0.5%**	**1.3%**	**1.5%**	**1.3%**	**0.4%**	**0.4%**	**0.4%**	**0.5%**	**0.5%**
Total Debt	₹ 157	₹ 59	₹ 196	₹ 276	₹ 266	₹ 94	₹ 108	₹ 122	₹ 138	₹ 155
Total Assets	₹ 14,559	₹ 16,200	₹ 19,196	₹ 23,129	₹ 27,175	₹ 30,068	₹ 33,466	₹ 35,925	₹ 38,585	₹ 41,438
Debt to Asset Ratio	**1.1%**	**0.4%**	**1.0%**	**1.2%**	**1.0%**	**0.3%**	**0.3%**	**0.3%**	**0.4%**	**0.4%**
Total Equity	₹ 11,438	₹ 12,608	₹ 14,990	₹ 18,046	₹ 21,297	₹ 23,564	₹ 26,076	₹ 27,568	₹ 29,180	₹ 30,912
Total Assets	₹ 14,559	₹ 16,200	₹ 19,196	₹ 23,129	₹ 27,175	₹ 30,068	₹ 33,466	₹ 35,925	₹ 38,585	₹ 41,438
Equity Ratio	**78.6%**	**77.8%**	**78.1%**	**78.0%**	**78.4%**	**78.4%**	**77.9%**	**76.7%**	**75.6%**	**74.6%**
Profitability/ Margin Ratio										
Gross Profit	₹ 3,608	₹ 4,342	₹ 6,230	₹ 7,556	₹ 8,573	₹ 9,765	₹ 10,971	₹ 12,241	₹ 13,564	₹ 14,925
Total Sales	₹ 8,720	₹ 10,298	₹ 14,442	₹ 16,536	₹ 18,870	₹ 21,701	₹ 24,793	₹ 28,140	₹ 31,728	₹ 35,536
Gross Margins	**41.4%**	**42.2%**	**43.1%**	**45.7%**	**45.4%**	**45.0%**	**44.3%**	**43.5%**	**42.8%**	**42.0%**
EBITDA	₹ 1,782	₹ 2,172	₹ 3,443	₹ 4,328	₹ 4,712	₹ 5,143	₹ 5,690	₹ 6,247	₹ 6,806	₹ 7,356
Total Sales	₹ 8,720	₹ 10,298	₹ 14,442	₹ 16,536	₹ 18,870	₹ 21,701	₹ 24,793	₹ 28,140	₹ 31,728	₹ 35,536
EBITDA Margins	**20.4%**	**21.1%**	**23.8%**	**26.2%**	**25.0%**	**23.7%**	**23.0%**	**22.2%**	**21.5%**	**20.7%**

Ratio Analysis

	Actual					Explicit Forecast Period				
In INR Crores unless otherwise stated	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030
EBIT	₹ 1,331	₹ 1,720	₹ 2,917	₹ 3,730	₹ 3,983	₹ 4,306	₹ 4,731	₹ 5,086	₹ 5,428	₹ 5,749
Total Sales	₹ 8,720	₹ 10,298	₹ 14,442	₹ 16,536	₹ 18,870	₹ 21,701	₹ 24,793	₹ 28,140	₹ 31,728	₹ 35,536
EBIT Margins	**15.3%**	**16.7%**	**20.2%**	**22.6%**	**21.1%**	**19.8%**	**19.1%**	**18.1%**	**17.1%**	**16.2%**
Net Profit	₹ 1,346	₹ 1,676	₹ 2,913	₹ 4,001	₹ 4,735	₹ 4,121	₹ 4,567	₹ 4,971	₹ 5,376	₹ 5,773
Total Sales	₹ 8,720	₹ 10,298	₹ 14,442	₹ 16,536	₹ 18,870	₹ 21,701	₹ 24,793	₹ 28,140	₹ 31,728	₹ 35,536
Net Profit Margins	**15.4%**	**16.3%**	**20.2%**	**24.2%**	**25.1%**	**19.0%**	**18.4%**	**17.7%**	**16.9%**	**16.2%**
Net Income	₹ 1,346	₹ 1,676	₹ 2,913	₹ 4,001	₹ 4,735	₹ 4,121	₹ 4,567	₹ 4,971	₹ 5,376	₹ 5,773
Total Assets	₹ 14,559	₹ 16,200	₹ 19,196	₹ 23,129	₹ 27,175	₹ 30,068	₹ 33,466	₹ 35,925	₹ 38,585	₹ 41,438
Return on Assets	**9.2%**	**10.3%**	**15.2%**	**17.3%**	**17.4%**	**13.7%**	**13.6%**	**13.8%**	**13.9%**	**13.9%**
Net Income	₹ 1,346	₹ 1,676	₹ 2,913	₹ 4,001	₹ 4,735	₹ 4,121	₹ 4,567	₹ 4,971	₹ 5,376	₹ 5,773
Total Equity	₹ 11,438	₹ 12,608	₹ 14,990	₹ 18,046	₹ 21,297	₹ 23,564	₹ 26,076	₹ 27,568	₹ 29,180	₹ 30,912
Return on Equity	**11.8%**	**13.3%**	**19.4%**	**22.2%**	**22.2%**	**17.5%**	**17.5%**	**18.0%**	**18.4%**	**18.7%**
Efficiency Ratio										
Revenue	₹ 8,720	₹ 10,298	₹ 14,442	₹ 16,536	₹ 18,870	₹ 21,701	₹ 24,793	₹ 28,140	₹ 31,728	₹ 35,536
Total Assets	₹ 14,559	₹ 16,200	₹ 19,196	₹ 23,129	₹ 27,175	₹ 30,068	₹ 33,466	₹ 35,925	₹ 38,585	₹ 41,438
Asset Turnover Ratio	**59.9%**	**63.6%**	**75.2%**	**71.5%**	**69.4%**	**72.2%**	**74.1%**	**78.3%**	**82.2%**	**85.8%**
Change in Revenue	(₹ 433)	₹ 1,577	₹ 4,144	₹ 2,094	₹ 2,335	₹ 2,831	₹ 3,092	₹ 3,347	₹ 3,588	₹ 3,807
Change in Total Asset	₹ 2,112	₹ 1,642	₹ 2,996	₹ 3,933	₹ 4,045	₹ 2,893	₹ 3,398	₹ 2,459	₹ 2,660	₹ 2,853
Re-investment Ratio	**-0.2x**	**1.0x**	**1.4x**	**0.5x**	**0.6x**	**1.0x**	**0.9x**	**1.4x**	**1.3x**	**1.3x**
COGS	₹ 5,112	₹ 5,956	₹ 8,212	₹ 8,980	₹ 10,297	₹ 11,935	₹ 13,822	₹ 15,899	₹ 18,164	₹ 20,611
Inventory	₹ 875	₹ 1,132	₹ 1,278	₹ 1,410	₹ 1,564	₹ 1,766	₹ 2,045	₹ 2,352	₹ 2,687	₹ 3,049
Inventory Turnover Ratio	**5.8x**	**5.3x**	**6.4x**	**6.4x**	**6.6x**	**6.8x**	**6.8x**	**6.8x**	**6.8x**	**6.8x**
Coverage Ratio										
Total Debt	₹ 157	₹ 59	₹ 196	₹ 276	₹ 266	₹ 94	₹ 108	₹ 122	₹ 138	₹ 155
EBITDA	₹ 1,782	₹ 2,172	₹ 3,443	₹ 4,328	₹ 4,712	₹ 5,143	₹ 5,690	₹ 6,247	₹ 6,806	₹ 7,356
Debt to EBITDA Coverage Ratio	**8.8%**	**2.7%**	**5.7%**	**6.4%**	**5.7%**	**1.8%**	**1.9%**	**2.0%**	**2.0%**	**2.1%**
EBIT	₹ 1,331	₹ 1,720	₹ 2,917	₹ 3,730	₹ 3,983	₹ 4,306	₹ 4,731	₹ 5,086	₹ 5,428	₹ 5,749
Interest Expense	₹ 16	₹ 19	₹ 28	₹ 51	₹ 54	₹ 17	₹ 20	₹ 22	₹ 25	₹ 27
Interest Coverage Ratio	**83.2x**	**90.5x**	**104.2x**	**73.1x**	**73.8x**	**247.1x**	**240.1x**	**229.0x**	**219.7x**	**211.9x**

Valuation

Objective

The objective is to reach the intrinsic value of EML stock. The analysis aims to assess the company's worth basis its ability to generate cash flows, future growth, and risk associated with the business. We carefully considered managements guidance while performing this analysis.

Valuation Methodology

There are primarily three approaches in valuation (Asset Approach, Market approach, and Income Approach).
For any Valuation, all the approach may not be relevant and therefore will not give a fair estimate of value. Hence, the approach most suitable for a specific Business/Company must be applied in the valuation exercise based on common practice.

The Three approaches generally adopted in valuation are:

1. **Market Approach**: Comparable Companies Method & Comparable Transaction Method.
2. **Income Approach**: Discounted Cash Flow Method.
3. **Asset Approach**: Net Asset Value Method.

Market Approach

Under this approach, we measure the value of the business of the company by applying the market multiples of listed companies that trade actively and possess attributes similar to and comparable with target company.
This methodology is based on the principle that such market pricing takes place between informed buyers and informed sellers while considering all the relevant factors.

Not all multiples are applicable to every company. Therefore, the relevant multiples should be chosen carefully and adjusted for differences between the comparable. For the purpose of valuation of EML, we have chosen EV/EBITDA multiple.

Asset Approach

Under this approach, we measure the value of business based on the difference between the value of assets and liabilities. This approach focuses on determining the value of net assets from the perspective of equity valuation.

The value of net assets can be determined as follows:
Net Assets = Total Assets – Total Liabilities. The value of net asset is also known as Total Equity.

Income Approach

Under this approach, the business value is determined by assessing free cash flows, expected growth, and the weighted average cost of capital (WACC), which signifies the underlying risk.

Four major steps in this approach are:

1. Forecasting future cash flows for an explicit growth period.
2. Discounting these cash flows to present value at the rate of return, which depicts the risk in realizing the future cash flows and expected growth. Calculation of the terminal value of free cash flows post explicit growth period.
3. Addition of the present value of terminal cash flows and future cash flows during the explicit forecast period.

DCF Valuation

In INR Crores unless otherwise stated	Actual					Explicit Forecast Period				
	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Free Cash Flow to Firm										
EBITDA	₹ 1,782	₹ 2,172	₹ 3,443	₹ 4,328	₹ 4,712	₹ 5,143	₹ 5,690	₹ 6,247	₹ 6,806	₹ 7,356
Less : Depreciation & Amortization	(₹ 451)	(₹ 452)	(₹ 526)	(₹ 598)	(₹ 729)	(₹ 837)	(₹ 959)	(₹ 1,161)	(₹ 1,377)	(₹ 1,607)
EBIT	**₹ 1,331**	**₹ 1,720**	**₹ 2,917**	**₹ 3,730**	**₹ 3,983**	**₹ 4,306**	**₹ 4,731**	**₹ 5,086**	**₹ 5,428**	**₹ 5,749**
Less : Tax	(₹ 452)	(₹ 526)	(₹ 886)	(₹ 1,201)	(₹ 1,199)	(₹ 1,374)	(₹ 1,522)	(₹ 1,657)	(₹ 1,792)	(₹ 1,924)
EBIT (1-T)	**₹ 879**	**₹ 1,194**	**₹ 2,031**	**₹ 2,529**	**₹ 2,784**	**₹ 2,932**	**₹ 3,209**	**₹ 3,429**	**₹ 3,636**	**₹ 3,825**
Add : Depreciation & Amortization	₹ 451	₹ 452	₹ 526	₹ 598	₹ 729	₹ 837	₹ 959	₹ 1,161	₹ 1,377	₹ 1,607
Cash NOPAT	**₹ 1,330**	**₹ 1,646**	**₹ 2,557**	**₹ 3,127**	**₹ 3,513**	**₹ 3,769**	**₹ 4,168**	**₹ 4,590**	**₹ 5,014**	**₹ 5,431**
Less : Reinvestments										
Change in Working Capital	₹ 258	(₹ 151)	₹ 66	₹ 388	₹ 211	(₹ 375)	(₹ 404)	(₹ 434)	(₹ 462)	(₹ 486)
Capex During the Year	(₹ 537)	(₹ 639)	(₹ 674)	(₹ 814)	(₹ 1,028)	(₹ 1,084)	(₹ 1,216)	(₹ 2,021)	(₹ 2,163)	(₹ 2,292)
Free Cash Flow to Firm	**₹ 1,051**	**₹ 856**	**₹ 1,950**	**₹ 2,700**	**₹ 2,696**	**₹ 2,310**	**₹ 2,547**	**₹ 2,134**	**₹ 2,389**	**₹ 2,654**
Discount Period (years)						0.5	1.5	2.5	3.5	4.5
Discount Rate (WACC)						0.945	0.844	0.753	0.673	0.601
Present Value Factor										
Present Value of Free Cash Flow to Firm						**₹ 2,183**	**₹ 2,149**	**₹ 1,608**	**₹ 1,607**	**₹ 1,593**

Mid Year? Yes

12%

DCF Valuation

DCF Calculation - Perpetuity Growth

Perpetual growth rate	7%
Terminal Year FCFF x (1+ PGR)	₹ 2,826
Terminal Value	**₹ 51,382**
Present Value of Terminal Value	₹ 30,855
Present Value of FCFF	₹ 9,140
Enterprise Value	**₹ 39,995**
Implied Exit Multiple	*16.0x*
Implied EV/EBITDA	*8.5x*
Less : Debt	(₹ 334)
Add : Cash	₹ 263
Less: Minority Interest	-
Add: Non Operating Asset	₹ 20,328
Equity Value	**₹ 60,252**
Less: Value of Option	(₹ 21)
Equity Value for Shareholders	**₹ 60,231**

DCF Calculation - Exit Multiple

Exit Multiple	16.0x
Terminal Year EBITDA	₹ 7,356
Terminal Value	**₹ 1,17,694**
Present Value of Terminal Value	**₹ 70,676**
Present Value of FCFF	₹ 9,140
Enterprise Value	**₹ 79,816**
Implied Exit Multiple	10.9x
Implied EV/EBITDA	16.9x
Less : Debt	(₹ 334)
Add : Cash	₹ 263
Less: Minority Interest	-
Add: Non Operating Asset	₹ 20,328
Equity Value	**₹ 1,00,073**
Less: Value of Option	(₹ 21)
Equity Value for Shareholders	**₹ 1,00,051**

Terminal Growth \ WACC	10%	11%	12%	13%	14%	15%
4%	59720	54217	50090	46881	44315	42215
5%	66056	58602	53277	49284	46179	43694
6%	75561	64740	57526	52374	48509	45502
7%	91401	73948	63475	56493	51504	47762
8%	123082	89295	72399	62259	55498	50667
9%	218126	119988	87271	70909	61090	54541

Exit Multiple \ WACC	11%	12%	13%	14%	15%	16%
12x	84758	82382	80119	77960	75902	73938
13x	89357	86800	84363	82040	79824	77710
14x	93956	91217	88607	86119	83746	81482
15x	98555	95634	92851	90198	87668	85254
16x	103154	100051	97095	94277	91589	89026
17x	107754	104469	101339	98356	95511	92798

Market Cap
INR 1,99,176

Intrinsic Value
INR 60,231 Crores

WACC 12%

Terminal Growth
6%

Annexure I

Weighted Average Cost of Capital

Particulars	Low	Mid	High
Risk Free Rate	4.43%	4.43%	4.43%
Equity Risk Premium	5.93%	5.93%	5.93%
Asset Beta	0.70	0.75	0.80
D/E Ratio	1.25%	1.25%	1.25%
Equity Beta	0.71	0.76	0.81
CAPM Cost of Equity	**8.62%**	**8.93%**	**9.23%**
Small Size Premium	2.60%	2.60%	2.60%
Asset Specific Premium	0.00%	0.00%	0.00%
Modified Cost of Equity	**11.22%**	**11.53%**	**11.83%**
Pre Tax Cost of Debt	7.04%	7.04%	7.04%
Marginal Tax Rate	25%	25%	25%
Post Tax Cost of Debt	**5.28%**	**5.28%**	**5.28%**
Capital Gearing (D/D+E)	1.24%	1.24%	1.24%
Weighted Average Cost of Capital	11.15%	11.46%	11.75%
Weighted Average Cost of Capital (Rounded)	**12.00%**	**12.00%**	**12.00%**

1. Tax rate considered as Marginal Tax Rate of India

2. Assets Beta is considered as median of 5 Years beta of comps adjusted for blume affect

*3. Equity Beta = Assets Beta *(1+(1-Tax Rate%)*Debt/Equity*

Risk Free Rate

We have considered 4.43% as the risk free rate in estimation of cost of equity of 8.93%. The risk free rate of india is calculated by considering local currency 10 years government bond yield adjusted for default spread of india.

Asset Beta

We have estimated an asset beta range of 0.70 to 0.80, with a mid point of 0.75 based on ovserved median of 5 year monthly asset beta of benchmark listed companies adjusted for blume affect.

Equity Risk Premium (ERP)

An ERP of 5.93% has been adopted based on US implied Equity Risk Premium, relative equity volatility of ICE BoFA Public Sector Issues Emerging Markets Index, S&P Emerging BMI Index and country risk premium of india.

Cost of Debt

For the purpose of assessing the cost of debt we have used country's risk free rate, country's default spread and corporate default spread based on companies debt rating and intersr coverage ratio

Small Size Premium

Emperically, small sized assets have exceeded the returns as compared to large sized assets. We have used the study on size premium conducted by Incwert which is based on differnce between actual retruns & CAPM expected returns arranged in decile basis market capitalization of indian companies.

Annexure II

Beta Analysis - 2 Years Weekly

Comparable Company	Ticker	No. of weekly Observations	Market Cap	Asset Beta	2 Years Avg D/E	Equity Beta	2 Years Avg D/(D+E)	Considered?	Narrow Set
Maruti Suzuki	MRUTI	104	5,11,376.00	0.56	0%	0.557	0.00%	N	False
M & M	M&M	104	4,29,627.00	0.70	167%	1.58	23.10%	Y	True
Tata Motors	TATAMOTORS	104	2,50,012.00	0.89	62%	1.31	22%	N	False
Bajaj Auto	BAJAJ-AUTO	104	2,49,838.00	0.94	27%	1.13	3.61%	Y	True
Hyundai Motor	HYUNDAI	104	1,95,432.00	0.00	5%	0	0.43%	N	False
Eicher Motors	EICHERMOT	104	1,91,035.00	0.85	2%	0.863	0.2%	Y	True
TVS Motor Co.	TVSMOTOR	104	1,65,820.00	0.40	336%	1.4	14.71%	Y	True
Hero Motocorp	HEROMOTOCO	104	1,10,037.00	1.11	4%	1.14	0.63%	Y	True
Median - Broad Set				0.78	16%	1.14	2%		
Average - Broad Set				0.68	75%	1.00	8%		
Median - Considered Set				0.85	27%	1.14	3.61%		
Average - Considered Set				0.80	107%	1.2226	8.46%		

Beta Analysis - 5 Years Monthly

Comparable Company	Ticker	No. of weekly Observations	Market Cap	Asset Beta	Avg D/E	Equity Beta	5 Years Avg D/(D+E)	Considered?	Narrow Set
Maruti Suzuki	MRUTI	60	5,11,376.00	0.69	0%	0.692	0.00%	N	False
M & M	M&M	60	4,29,627.00	0.55	167%	1.25	23.10%	Y	True
Tata Motors	TATAMOTORS	60	2,50,012.00	0.97	62%	1.42	22%	N	False
Bajaj Auto	BAJAJ-AUTO	60	2,49,838.00	0.87	27%	1.05	3.61%	Y	True
Hyundai Motor	HYUNDAI	60	1,95,432.00	0.00	5%	0	0.43%	N	False
Eicher Motors	EICHERMOT	60	1,91,035.00	0.69	2%	0.7	0.2%	Y	True
TVS Motor Co.	TVSMOTOR	60	1,65,820.00	0.39	336%	1.38	14.71%	Y	True
Hero Motocorp	HEROMOTOCO	60	1,10,037.00	0.98	4%	1.01	0.63%	Y	True
Median - Broad Set				0.69	16%	1.03	2%		
Average - Broad Set				0.64	75%	0.94	8%		
Median - Considered Set				0.69	27%	1.05	3.61%		
Average - Considered Set				0.70	107%	1.078	8.46%		

Annexure II

Blume Beta Analysis - 5 Years Monthly 2/3 - Beta + 1/3*Market Beta

Comparable Company	Ticker	No. of weekly Observations	Market Cap	Asset Beta	2 Years Avg D/E	Equity Beta	5 Years Avg D/(D+E)
Maruti Suzuki	MRUTI	60	5,11,376.00	0.77	0%	0.77	0.00%
M & M	M&M	60	4,29,627.00	0.50	167%	1.12	23.10%
Tata Motors	TATAMOTORS	60	2,50,012.00	0.84	62%	1.23	22%
Bajaj Auto	BAJAJ-AUTO	60	2,49,838.00	0.83	27%	0.99	3.61%
Hyundai Motor	HYUNDAI	60	1,95,432.00	0.00	5%	0.33	0.43%
Eicher Motors	EICHERMOT	60	1,91,035.00	0.76	2%	0.77	0.2%
TVS Motor Co.	TVSMOTOR	60	1,65,820.00	0.34	336%	1.20	14.71%
Hero Motocorp	HEROMOTOCO	60	1,10,037.00	0.94	4%	0.97	0.63%
Median - Broad Set				0.76	16%	0.98	2%
Average - Broad Set				0.62	75%	0.92	8%
Median - Considered Set				0.76	27%	0.99465	3.61%
Average - Considered Set				0.67	107%	1.012374	8.46%

Relative Valuation

In INR Crores

Company	Ticker	Market Data: Share Price	Market Cap	Debt	Enterprise Value	Financials: 2025A Sales	2026E Sales	2027E Sales	2025A EBITDA	2026E EBITDA	2027E EBITDA	2025A Net Profit	2026E Net Profit	2027E Net Profit	Multiples: 2025A EV/Sales	2026E EV/Sales	2027E EV/Sales	2025A EV/EBITDA	2026E EV/EBITDA	2027E EV/EBITDA	2025E P/E	2026E P/E	2027E P/E
Eicher Motors	EICHERMOT	6,850	1,87,874	266	1,87,877	₹ 18,870	₹ 21,077	₹ 23,680	₹ 4,396	₹ 5,230	₹ 5,949	₹ 4,407	₹ 5,128	₹ 5,684	10.0x	8.9x	7.9x	42.7x	35.9x	31.6x	1.6x	1.3x	1.2x
Bajaj Auto	BAJAJ-AUTO	8,702	2,42,997	9364	2,49,513	₹ 50,995	₹ 56,777	₹ 63,153	₹ 9,610	₹ 11,833	₹ 12,940	₹ 7,382	₹ 9,330	₹ 10,323	4.9x	4.4x	4.0x	26.0x	21.1x	19.3x	1.2x	0.9x	0.8x
Tvs Motor	TVSMOTOR	3,452	1,64,024	15807	1,75,106	₹ 44,089	₹ 46,754	₹ 54,626	₹ 6,416	₹ 6,179	₹ 7,482	₹ 2,221	₹ 3,936	₹ 4,868	4.0x	3.7x	3.2x	27.3x	28.3x	23.4x	1.6x	0.9x	0.7x
Hero Motor	HEROMOTOCO	5,290	1,05,836	457	1,05,719	₹ 40,923	₹ 41,827	₹ 47,858	₹ 5,296	₹ 5,180	₹ 6,194	₹ 3,887	₹ 3,182	₹ 3,869	2.6x	2.5x	2.2x	20.0x	20.4x	17.1x	1.4x	1.7x	1.4x
High		8,702	2,42,997	15,807	2,49,513	50,995	56,777	63,153	9,610	11,833	12,940	7,382	9,330	10,323	10.0x	8.9x	7.9x	42.7x	35.9x	31.6x	1.6x	1.7x	1.4x
75th Percentile		7313	201654.75	10974.75	203286	45815.5	49259.75	56757.75	7214.5	7592.5	8846.5	5150.75	6178.5	6843.75	6.2x	5.5x	4.9x	31.2x	30.2x	25.4x	1.6x	1.4x	1.2x
Average		6,074	1,75,183	6,474	1,79,554	38,719	41,609	47,329	6,430	7,106	8,141	4,474	5,394	6,186	5.4x	4.9x	4.3x	29.0x	26.4x	22.8x	1.4x	1.2x	1.0x
Median		6,070	1,75,949	4,911	1,81,492	42,506	44,291	51,242	5,856	5,705	6,838	4,147	4,532	5,276	4.4x	4.1x	3.6x	26.6x	24.7x	21.3x	1.5x	1.1x	1.0x
25th Pecentile		4831	149477	409	157759	35410	36640	41814	5071	5218	6133	3471	3748	4618	3.6x	3.4x	3.0x	24.5x	20.9x	18.7x	1.3x	0.9x	0.8x
Low		3,452	1,05,836	266	1,05,719	18,870	21,077	23,680	4,396	5,180	5,949	2,221	3,182	3,869	2.6x	2.5x	2.2x	20.0x	20.4x	17.1x	1.2x	0.9x	0.7x

EV/EBITDA	
Sales	₹ 18,870
EBITDA	₹ 4,396
Earnings	₹ 4,407
Valuation Multiple	EV/EBITDA
EV/EBITDA	27
Enterprise value	₹ 1,17,057
Less: Debt	(₹ 334)
Add: Cash	₹ 263
Less: Minority Interest	0
Add: Non Operating Asset	₹ 20,328
Equity Value	₹ 1,37,313
Less: Value of Option	(₹ 21)
Equity Value for Shareholders	₹ 1,37,292

EV/Sales	
Sales	₹ 18,870
EBITDA	₹ 4,396
Earnings	₹ 4,407
Valuation Multiple	EV/Sales
EV/Sales	4
Enterprise value	₹ 83,637
Less: Debt	(₹ 334)
Add: Cash	₹ 263
Less: Minority Interest	0
Add: Non Operating Asset	₹ 20,328
Equity Value	₹ 1,03,893
Less: Value of Option	(₹ 21)
Equity Value for Shareholders	₹ 1,03,872

P/E	
Sales	₹ 18,870
EBITDA	₹ 4,396
Earnings	₹ 4,407
Valuation Multiple	P/E
P/E	1
Enterprise value	₹ 6,424
Less: Debt	-
Add: Cash	₹ 0
Less: Minority Interest	0
Add: Non Operating Asset	₹ 0
Equity Value	₹ 6,424
Less: Value of Option	-
Equity Value for Shareholders	₹ 6,424

Relative Valuation - Benchmarking

Summary

	2021	2022	2023	2024	2025	Historical Average
Average Revenue Growth	-1%	15%	24%	18%	12%	14%
Average EBITDA Margins	14%	14%	16%	18%	17%	16%
Average EBIT Margins	11%	11%	13%	15%	15%	13%
Average PAT Margins	9%	11%	11%	13%	13%	12%
Average Gross Margins	29%	30%	31%	34%	36%	32%
Median Revenue Growth	3%	19%	16%	22%	13%	15%
Median EBITDA Margins	11%	11%	12%	15%	15%	13%
Median EBIT Margins	9%	9%	9%	13%	12%	10%
Median PAT Margins	8%	8%	7%	11%	9%	9%
Median Gross Margins	27%	28%	28%	32%	33%	30%

Valuation Summary

Valuation Method	Current Market Cap	Enterprise Value	Equity Value for Shareholders	Per Share Equity Value for Shareholders	Current Market Price	Discount/Premium	Discount/Premium %
Discounted Cashflow - Perpetuity Growth	₹ 1,99,135	₹ 39,995	₹ 60,231	₹ 2,231	₹ 7,258	-₹ 5,027	-69%
Discounted Cashflow - Exit Multiple	₹ 1,99,135	₹ 79,816	₹ 1,00,051	₹ 3,706	₹ 7,258	-₹ 3,552	-49%
Relative Valuation - EV/Sales	₹ 1,99,135	₹ 83,637	₹ 1,03,872	₹ 3,847	₹ 7,258	-₹ 3,411	-47%
Relative Valuation - EV/EBITDA	₹ 1,99,135	₹ 1,17,057	₹ 1,37,292	₹ 5,085	₹ 7,258	-₹ 2,173	-30%
Relative Valuation - P/E	₹ 1,99,135	₹ 6,424	₹ 6,424	₹ 238	₹ 7,258	-₹ 7,020	-97%

Analysis

Eicher Motors current market price stands at INR 7258 per share. Under the DCF method the Perpetuity Growth Model, the value is estimated at 2231, while the Exit Multiple Model is at 3706. Relative method suggest values of INR 3847 by EV/Sales, EV?EBITDA suggests INR 5085, and P/E Multiple INR 6424.

Conclusion

- **Strong Brand Leadership**: Royal Enfield dominates the premium motorcycle segment with over 80% market share in premium segment.
- **Premiumization Strategy**: The company has strong focus on its 350cc to 750cc product portfolio, and have strong pricing power in premium segments.
- **Global Expansion Momentum**: Rapid Expansion in International markets like America, EMEA, APAC supported by strong CKD facilities and retail penetration, strengthens long term growth visibility.
- **Lower Risk Profile**: Eicher's motor is well established brand, with consistent performance and focus on cost efficiency translates to a lower perceived risk for investors and the company also have low debt.

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Guided By – CA Parth Verma (The Valuation School)

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